Shenzhen T&S Communication 300570.SZ 300570 CH

EQUITY: TECHNOLOGY

3Q26: top line accelerated, but margin under pressure

Quick Note

Shenzhen T&S (T&S) reported 3Q26 results on 29 October after the market close, with revenue/earnings accelerating to 161%/37% y-y growth (+53% / +7% q-q). The company's revenue beat our estimate by 27%, while earnings missed our estimate by 29%. We think the meaningful increase in revenue was likely driven by strong demand for high-density passive interconnection products (i.e., MPO and MMC) and capacity expansion. However, GPM declined 9.2pp y-y (down 6.3pp q-q) to 26.9% in 3Q26, which we think was due to higher component costs (i.e., fiber, ferrule) and depreciation cost in the capacity ramping up stage. Net margin also declined 10.8pp y-y (down 5.0pp q-q) in 3Q26, likely due to lower GPM and higher opex. We think T&S's MPO products are enjoying buoyant demand from high-end optical transceivers, but the margin fluctuation may disappoint investors. Looking forward, we expect the rising adoption of high-end MPO and shuffle box products in NPO (near-field packing optics) / CPO (co-packaged optics) to support further top line and margin expansion. We maintain our Buy rating and TP of CNY231.5, based on 58x FY27F EPS of CNY3.99, in line with an FY26-28F earnings CAGR of 58%. The stock currently trades at 34.6x FY27F EPS.

Rating Remains	Buy
Target price Remains	CNY 231.50
Closing price 29 October 2026	CNY 138.05

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Fig. 1: Shenzhen T&S - 3Q26 results review

CNY mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	y-y	q-q
	A	A	A	A	A	A	A		
Turnover	371	458	386	332	341	660	1,007	161%	53%
% chg yoy	66%	60%	-5%	-28%	-8%	44%	120%		
COGS	(215)	(291)	(246)	(207)	(212)	(441)	(736)		
Gross Profit	156	167	139	126	129	220	271		
OPEX	(62)	(65)	(41)	(72)	(53)	(101)	(131)		
Operating Income	94	101	98	54	76	118	141	43%	19%
% chg yoy	176%	84%	34%	-61%	-19%	17%	39%		
Finance Expense	5	4	3	(7)	(13)	(13)	(14)		
Pretax income	95	101	100	54	77	118	142	43%	21%
% chg yoy	167%	84%	32%	-61%	-19%	17%	41%		
Tax	(14)	(6)	(11)	(10)	(10)	(3)	(19)		
Minority expenses	(2)	(1)	(1)	(5)	(2)	(4)	(5)		
Profit to shareholders	79	94	87	39	66	111	119	37%	7%
% chg yoy	150%	97%	31%	-67%	-17%	18%	26%		
EPS (Diluted)	0.35	0.41	0.38	0.17	0.29	0.49	0.52		
Ratio Analysis									
GPM	42.1%	36.4%	36.2%	37.8%	37.8%	33.3%	26.9%	-9.2pp	-6.3pp
OPEX	16.8%	14.3%	10.6%	21.7%	15.6%	15.4%	13.0%	2.3pp	-2.4pp
OPM	25.3%	22.1%	25.5%	16.1%	22.2%	17.9%	14.0%	-11.6pp	-3.9pp
NPM	21.4%	20.5%	22.5%	11.6%	19.3%	16.7%	11.8%	-10.8pp	-5.0pp

Source: Company data, Nomura research

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Appendix A-1

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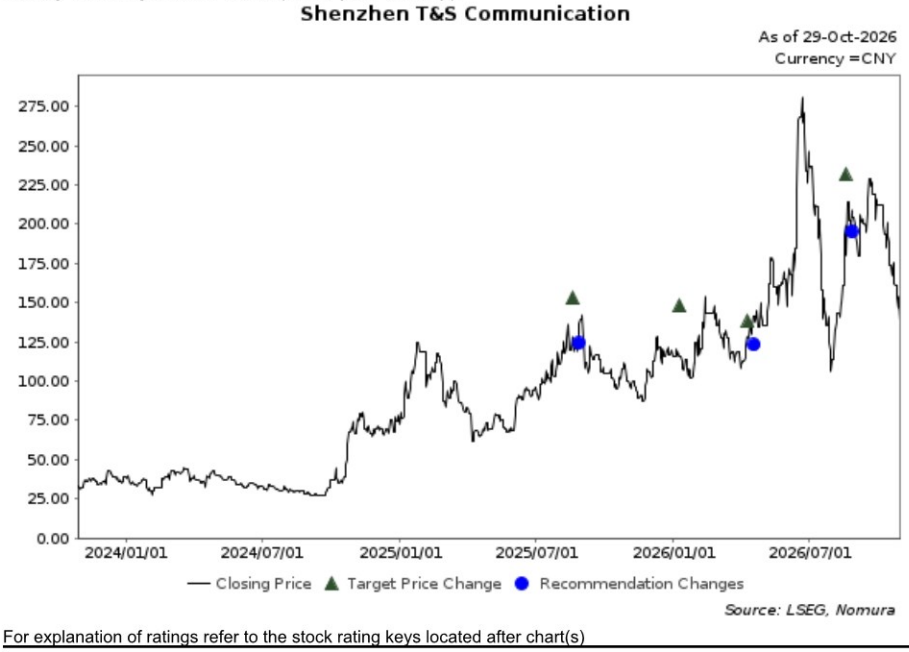
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shenzhen T&S Communication	300570 CH	CNY 138.05	29-Oct-2026	Buy	N/A	

Shenzhen T&S Communication (300570 CH) **CNY 138.05 (29-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
18-Aug-26	Buy		199.27
18-Aug-26		231.50	199.27
10-Apr-26	Neutral		127.15
10-Apr-26		138.00	127.15
09-Jan-26		148.00	115.54
19-Aug-25	Buy		128.14
19-Aug-25		153.00	128.14

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY231.50 is based on 58x 2027F EPS of CNY3.99, in line with FY26-28F earnings CAGR of 58%. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: (1) weaker-than-expected demand for optical component market; (2) weaker-than-expected CPO penetration; (3) top customer's supply chain diversification; and (4) geopolitical risks.

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